

October/November 2024 12

1-D:

scarcity refers to the fundamental problem where limited resources cannot meet unlimited human wants and needs.

Economic systems answer three basic questions: what will be produced, how will it be produced, and how will the output society produces be distributed?

Options A, B and C meet the above three basic questions. These three options eliminate and leave with the choice of option D only.

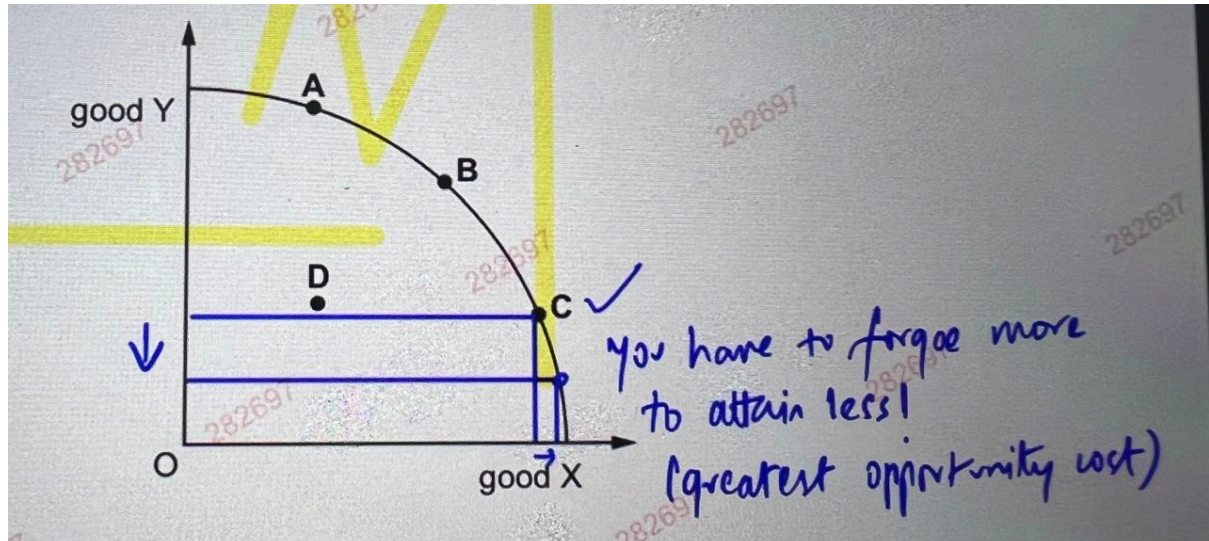
2-D:

Opportunity cost is the value of the next best alternative that is forgotten when a choice is made. It represents what you give up when you select one option over another.

3-C:

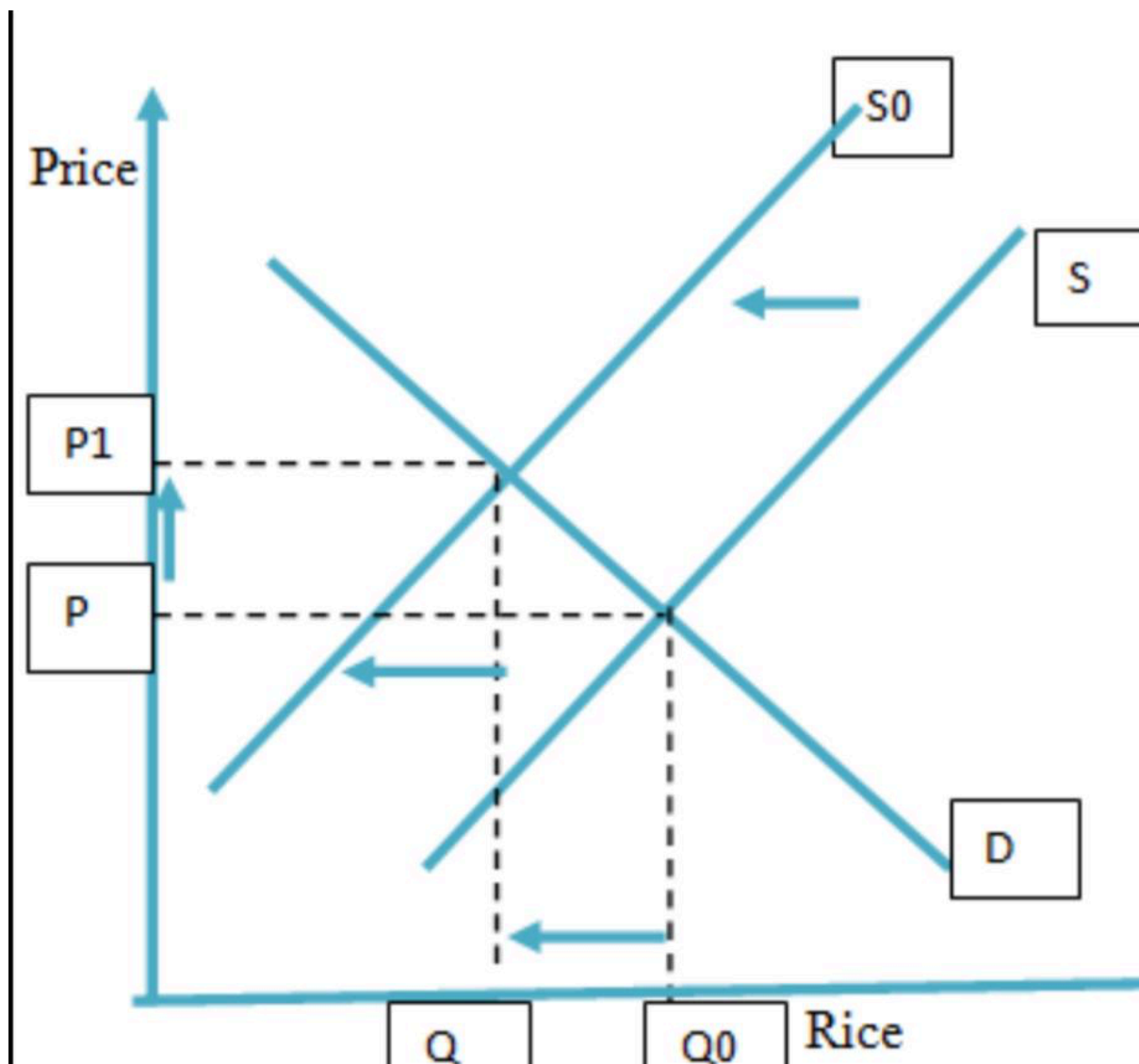
The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

if we draw the line inside the ppc at point A, we can see that we have to forgo less of good Y to attain the more of good X. Likewise, the opportunity cost at point B is also not the greatest one to attain less of good X. While the point inside the ppc shows the inefficiencies and not the concept of increasing opportunity cost. Hence the diagram below shows the greatest opportunity cost of good Y to attain good X at point D.



4-B:

Bad weather is one of the factors affecting the supply of rice. This bad weather will disrupt the supply of rice. This is because excess demand for rice by consumers will not be met due to the shortage of rice in the market. This shortage will shift the supply leftward or backward and this results in rising the price of rice in the market. As shown below:



For option C and D, the concept of surplus will not work here because surplus means excess supply where quantity supplied is exceeding quantity demanded. And that is not the case above.

5-B:

We can see that demand for coffee is rising from D_1 to D_2 . Let's find out the reasons for the shift below:

A- a good harvest will affect the supply of coffee. For example, the producers will be able to meet the demand of coffee in a market due to better conditions of harvest and this increases supply

B- tea is a direct substitute for coffee. An increase in the price of tea will switch consumers to find a cheaper alternative such as coffee. This increases the demand for coffee, thus showing the positive relationship between increased price of tea and rise in quantity demand of coffee.

C- this factor will also affect the supply of coffee as a rise in wages will increase the cost to the firms and this will reduce the supply.

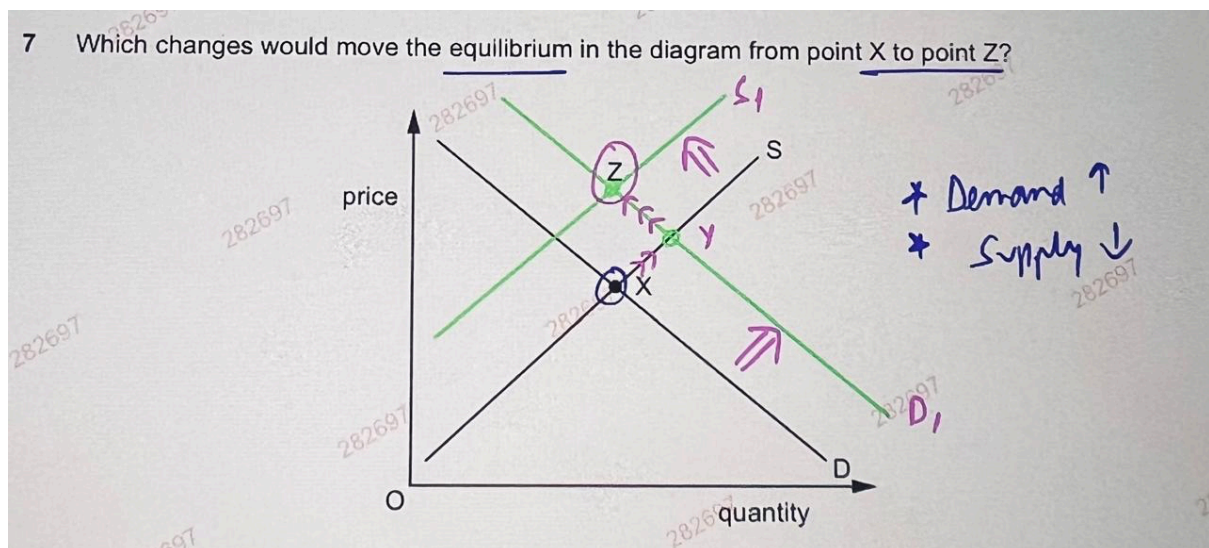
D- a successful advertising of tea will influence or persuade consumers to increase their purchase on tea rather than coffee. As a result the demand for coffee will fall, not rise.

6-C:

supply refers to the quantity of a good or service that producers are willing and able to offer for sale at a given price in a specific time period. The fundamental principle governing supply is the law of supply, which states that, generally, as the price of a product increases, the quantity supplied also increases, assuming all other factors remain constant.

From the given table, we can also identify the positive relationship between price and quantity supplied. So when the price increases from \$12 to \$14, the quantity supply also extends as shown. This eliminates the option A and B which says about the contraction of supply. Additionally, the changes in prices cause the movement along the supply curve while other factors such as imposition of indirect taxes or subsidies remain constant. Hence option D also eliminates and we find our correct option to choose, that is option C.

7-C:



8-A:

PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

To find out the numerical data, apply the ZM's formula of new-old/old multiplied by the 100.

For change in quantity demanded% = $\frac{500-1000}{1000} = -50\%$

For change in price% = $\frac{10-8}{8} = 25\%$

$-50\%/25\% = -2$

That is greater than 1 while ignoring the negative sign.

9-B:

External cost is the cost imposed on the third party.

Let's find out the external cost of building out the new airport to the society

A- importing materials is a private cost to the government.

B- yes, enjoyment will be forgone to foreigners when the airport replaces the natural beauty

C-private benefits to the producer

D- private cost to the government

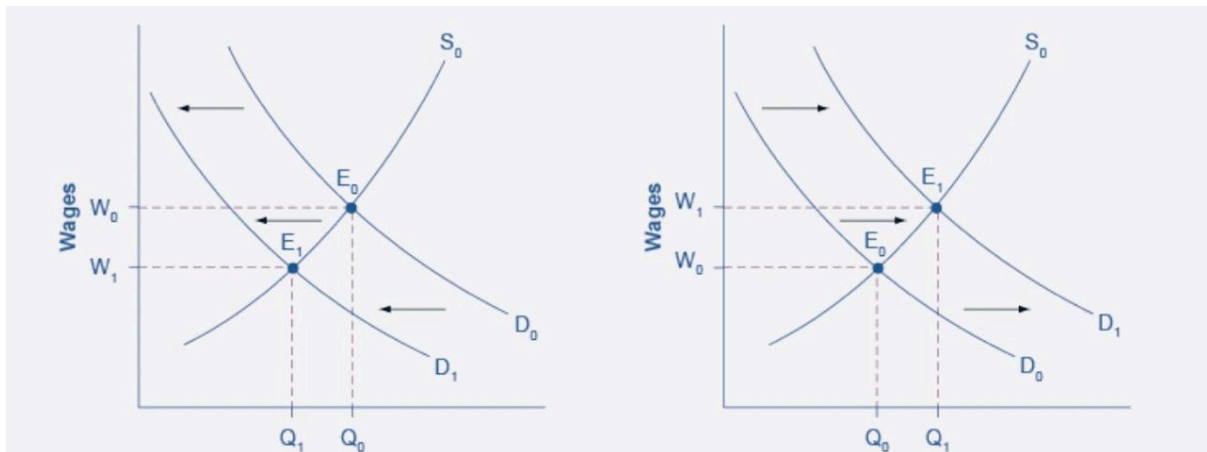
10-A:

The functions of a central bank can be discussed as follows: Currency regulator or bank of issue, lender of last resort, bank to the government, controlling of monetary policy, bringing price stability through controlling money supply and interest rates.

Option A is the role of central banks, while other functions are of commercial banks.

11-D:

The demand for labor refers to the quantity of labor that employers are willing and able to hire at various wage rates.



An increase in demand for labour will shift out the demand curve for labour rightward. This will push the wage rate up and thus quantity supplied of labour extended. Thus makes option D correct only.

12-C:

A-A company merges with one of its suppliers or distributors known as backward merger
B-Companies in unrelated industries merge. Food company donor merge with new industries

C-A company merges with one of its service sectors. Yes this happened as food companies are now taking up orders online to increase their expansion.

D-Two or more companies in the same industry and offering similar products or services combine known as horizontal merger.

13-B:

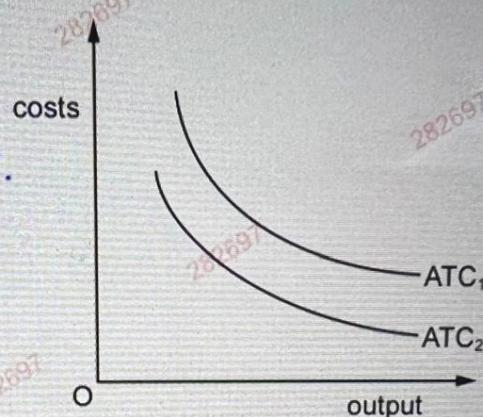
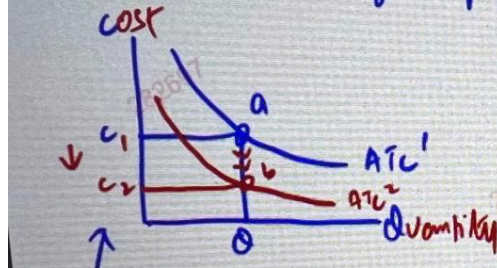
The average total cost is defined as the total costs incurred to produce a product, divided by the total number of units produced.

Movement along the ATC represents the internal economies of scale when it is downward and diseconomies of scale when ATC moves upwards.

While the inward shifts represent the external economies of scale and outward shifts represent the external diseconomies of scale.

13 The diagram shows the average total cost (ATC) for a firm, in the long run.

External EOS reduces cost at the same level of output.



From the above diagram, we can identify that ATC is moving inward, that is external economies of scale as cost per unit is reduced while producing the same level of output.

A- managerial economies of scale are internal economies of scale that cause upward movement in the ATC curve.

B- yes economies of scale is occurred that shifts ATC1 to ATC2

C- internal economies of scale

D- internal economies of scale

14-B:

Capital intensive production refers to production methods that require a high level of investment in capital equipment and technology, rather than labor.

A- expensive equipment cost will increase the cost and will discourage the firm in especially the low income country

B- grants by foreign aid companies will reduce the cost. This will encourage low income countries to use capital intensive methods. Thus makes a correct option to chose

C-if labour is cheap then more labour can be employed by a county

D- husky trained supervisors will increase the cost and discourage the decision.

15-C:

Average revenue is the per unit revenue of a firm. While the total revenue is the total income earned by the producers.

$$TR = P \times Q$$

$$AR = \frac{P \times Q}{Q}, \text{ the two } Q \text{ would be cancelled and hence } AR = \text{Price}$$

$$AR = \text{Price} = \$20, Q = 1000 \text{ units}$$

$$TR = \$20 \times 1000 = \$20,000.00$$

Hence makes the option C correct.

16-B:

A monopoly is characterized by a single seller dominating a market, with no close substitutes for its product and significant barriers preventing new firms from entering the market.

- A- consumers choices would decrease due to producer sovereignty.
- B- yes, monopolies being large firms experience EOS, this will reduce the costs, reducing the ATC or per unit cost. This cost benefit may pass out to the consumer
- C- in monopoly, producers also restrict the supply so no more goods produced
- D- this could be a disadvantage as supply restricts and prices increases

17-B:

Real GDP= Nominal inflation - Inflation

- A- No, employment is not included in real GDP calculations
- B- yes, see the formula above
- C- no, population is also not included
- D- only the rise of nominal GDP doesn't mean that real GDP will also rises

18-B:

The money supply is the total amount of money—cash, coins, and balances in bank accounts—in circulation within an economy. So option B matches with the given definition.

19-D:

Let's find out which policies can meet two of the macro objectives with the given policies

A- fiscal policy: If expansionary fiscal policy (fall in direct taxes and increase in government spending) is implied then AD will increase and this can meet the objective of economic growth. But an increase in AD will exceed AS and thus bring demand pull inflation to an economy. Therefore this policy will not meet both of the objectives.

B- import barriers: is an expenditure switching and this will switch consumers to domestic goods. This will increase the AD and price stability will not be achieved.

C- monetary policy: expansionary monetary policy (increase in money supply and fall in interest rates)

Can affect savers, borrowers and exchange rates. This can increase the AD and achieve the objective of economic growth. But an increase in AD will exceed AS and thus bring demand pull inflation to an economy. Therefore this policy will not meet both of the objectives.

D- supply side policy: this policy will increase the AS that result in fall in cost and prices and thus the real output increases meets both of the objectives.

20-B:

Economic growth refers to an increase in the production of goods and services in an economy over a specific period, often measured by the growth in Gross Domestic Product (GDP). Therefore option B matched with the given definition above

21-C:

Cyclical unemployment refers to job losses that occur due to fluctuations in the overall economy, specifically during periods of economic downturn or recession. when there is a downturn or contraction in the economy, this leads to a

decrease in demand for goods and services, and subsequently a decrease in demand for labor.

A- there is no permanent decrease in demand for labour as the economy recovers and demand increases, the firms start again to demand for labour.

B- unrelated to supply of labour. As a large pool of workers are ready to supply them in a market due to the high rate of unemployment.

C- Recessions typically lead to businesses reducing hiring and potentially laying off workers due to decreased demand for their products or services. Hence this makes a correct option

D- doesn't affect the supply of labour as explained above in option B

22-C:

A government budget is the difference between the government expenditure and tax revenue received.

From the table, we can see the trend that within period 3, government expenditure is increasing while the tax revenue has decreased. This shows a negative relationship between these two components. Government spending is increasing, which means that recession is going into the economy.

A- if dependency ratio is fall, then tax revenue should increase but this cannot be seen in the table

B- the table show the impact of the budget not the balance of trade

C- yes we can see that government spending is increasing that means AD is decreasing and cyclical unemployment is occurring that leads to fall in tax revenue to reduce within period

D-if there is an increase in real GDP, then more tax revenue should be generated

23-C:

Deflation is a decrease in the general price level of goods and services.

To boost the AD, the government needs to use expansionary policies.

In case of monetary policy, the money supply has to increase so that it can reduce the interest rate. A fall in interest rates creates its impact on savers, borrowers and exchange rates.

In addition, in case of fiscal policy, the government spending also has to increase to boost the AD. While the taxation should also decrease so that more income should be spent on the domestic market.

Therefore, all the above conditions meet in option C.

24-B:

A- if greater percentage of worker work in part time in Switzerland, than their average income would be less

B- yes, higher productivity could be the reason as this would increase the demand for labour and this may increase the wages of Switzerland workers than Mexico workers.(draw diagram of increasing the demand for labour shifting out for more clarification)

C- average income would be lower if there is a high income tax in Switzerland

D- high unemployment may increase the surplus of workers in Switzerland and this surplus may result in low wages for Switzerland worker

25-D:

25 The table contains details on birth rate, death rate and net migration for several countries in a year.

	birth rate	death rate	net migration
Australia	13	7	850 000
Brazil	14	6	30 000
Nigeria	39	12	-300 000
US	12	8	4500 000

lowest birth rate: US
lowest death rate: Brazil
↑

difference

A- we can see that only net migration is negative (-300,000) not the population

B- no that's not true. Lowest death: Brazil, highest birth rate: Nigeria

C- same as above option B

D- yes, see the difference above in the diagram that US had smallest difference of only 4

26-A:

High-income countries are typically characterized by strong economies, high standards of living, and well-developed infrastructure. They generally have a diversified economy with a focus on knowledge and innovation in tertiary sectors, high levels of education, and relatively low poverty and unemployment rates.

From the given characteristics, the high income countries must have a high GDP per head, higher value of HDI and higher percentage of workforce in tertiary sector to represent the higher level of standard of living. Hence option A is a correct choice.

27-A:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and economies of scale. This leads to increased efficiency, lower production costs, and greater global output.

A- no tools of protectionism such as removal of tariffs will encourage countries to specialise and focus on their comparative advantage to capture the foreign market easily.

B- inefficiencies in production will not able countries to able to supply at a larger scale and do not encourage to specialise

C- labor immobility is also a constraint factor to the countries to specialise in the production of certain goods and services

D- protectionism will discourage the countries to specialise as their goods become for expensive in foreign markets

28-A:

Dumping refers to the practice of exporting goods at a price lower than their normal value, typically either below the price charged in the exporter's domestic market or below the cost of production.

To stop the practice of dumping, what a government should do let's find out through the following options below:

A- embargo is a trade barrier imposed by one country or group of countries on another, typically involving a complete ban on trade or other commercial activity.

This protection method would be best strategy as this will complete ban of dumping goods coming into the country

B- devaluation will result in an increase in the imported price, but it only be effective when demand for imported goods is relatively elastic.

C- increase in interest rates will also increase the exchange rates, causing it to appreciate and this will appear the imported product cheaper to the county and hence this strategy would fail to achieve its target

D- subsidies will make the domestic goods cheaper but it won't stop the import of goods.

29-C:

From the given statement, we can identify the hint of determination of exchange rates within the demand and supply, that can only occur in the floating exchange rates. Let's find out the correct option

A- there is no link of trade protection from the statement

B- for fixed exchange rate system, government intervention must be required and statement doesn't clarify of government word specifically

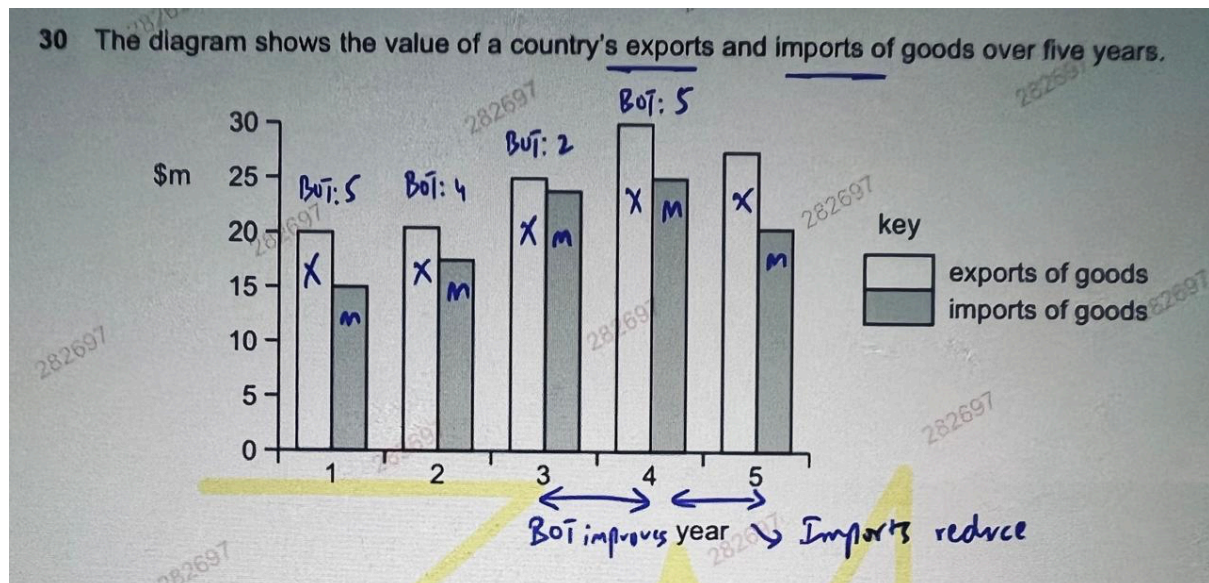
C- yes, we find out the our correct option that is floating exchange rate system

D- it's related to international specialisation

30-C:

Balance of trade will improve when exports exceeds with imports coming into a country.

We have to find out the two situations: 1- BOT improve 2- imports values also increases



A- from year 1 to year 2, imports increase but the BOT does not improve. See the diagram above

B- from year 2 to 3, imports also increased but the BOT didn't improve (4 to 2)

C- from year 3 to 4, the import bar also rises while the BOT also improves from 2 to 4 so this meets both the above conditions of the question

D- from year 4 to 5, the import value decreases and BOT difference remain the same as shown above in the diagram

